Audit risk assessment

High/material risks	Existing information and control environment	Affected positions in the annual financial statements	Audit strategy/assertions/audit procedures
Non-current assets The valuation of non-current assets is above the legal maximum.	• The hotel properties are periodically valued by external specialists. • There are authority rules in place for investments. • Asset accounting is reviewed on a quarterly basis, and spending is compared against the budget. • The Board of Directors is informed on a half-yearly basis of any material changes.	- Property, plant and equipment - Other investments - Depreciation - Other operating expenses - Extraordinary income/result from the disposal of non-current assets	We audited the internal control system (investment, valuation and depreciation procedures) during the interim audit and found that the ICS was appropriate and functioning properly. The external estimate of market value was conducted by a recognised expert in hotel properties. As far as we could ascertain, the valuer was independent of the hotel's management. We conduct an analytical year-on-year comparison as part of the audit of the annual financial statements.
Trade receivables: The recoverability of individual receivables is questionable.	Payment behaviour varies, and prepayments are increasingly required for large private events.	- Trade receivables from third parties - Bad debt provisions - Income from trade receivables	**1. Analytical checks** • Analysis of changes/year-on-year comparison/sales trend/accounts receivable • Critical review of OP list: age structure and large receivables **2. Checks on individual cases** • Obtain balance confirmations • Check appropriateness of bad debt provisions • Check incoming payments • Correct entry of prepayments
Inventories: The reported stocks do not match the actual stocks.	In our previous annual audits, we repeatedly identified inexplicable differences in the stocks held, particularly for wine. The hotel has introduced new inventory management software this financial year. We have not yet been able to check its implementation. There are still some manual steps involved.	- Inventories - Depreciation of inventories - Materials and stock expenses	**1. Analytical checks** • Review of wine inventory/plausibility of data **2. Checks on individual cases** • Inclusion in inventory • Completeness of general ledger (reconciliation of general ledger and subledger) • Valuation/one-third of inventory value